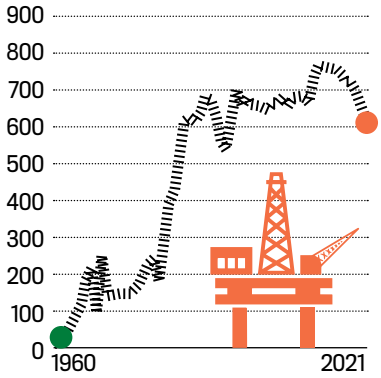
CRUDE SHOCK

Domestic production has been on the decline since FY15, dropping to 28.4 million tonnes in 2021-22, the lowest since 1993-94

INDIA'S CRUDE OIL PRODUCTION
(In barrel per day)

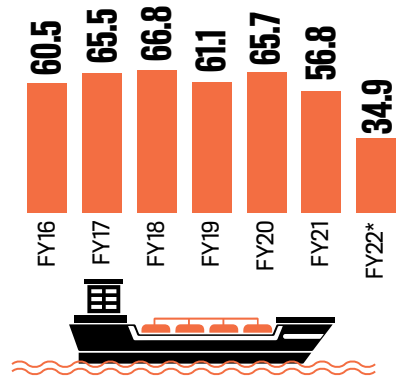


Source: CEICDATA.COM, OPEC

REFINED POWER

With a refining capacity of 248.9 MT per annum, India is the fourth largest in the world but exports dip due to domestic demands

EXPORTS OF PETROLEUM PRODUCTS
(In million metric tonne)

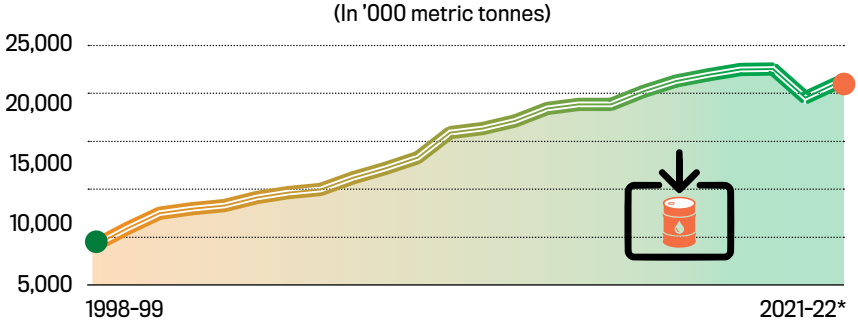


**Estimated*

RISING DEPENDENCY

From 39,808 MT in 1998-99, India's import of crude oil and other petroleum products has risen to 211,980 MT

IMPORT OF PETROLEUM PRODUCTS
(In '000 metric tonnes)



*Source: Petroleum Planning & Analysis Cell; *Provisional*



Photo courtesy BPCL

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Post-Independence, India's oil industry remained operated by foreign companies for a considerable period. The first oil discovery was made by Assam Oil Company in 1953 in Naharkatia and then in Moran in 1956, both in Upper Assam. Later, the erstwhile USSR helped in drawing geological and geophysical surveys and drilling plans in the 2nd Five-Year Plan (1956-57 & 1960-61). To spread exploration to various parts of the country, an Oil and Natural Gas Directorate was set up in 1955, which was changed to a commission (ONGC) the next year.

Within a year of being formed, ONGC discovered oil at Cambay and initiated offshore exploration in the form of experimental seismic surveys in 1962 in the Gulf of Cambay and later western offshore. In 1972-73, detailed seismic surveys led to India's biggest commercial discovery—Bombay High. Till the end of the 1970s, the Indian E&P industry was dominated by ONGC and Oil India Ltd. In 1979, the government took a strategic initiative to attract foreign investment, technology and capital for the Indian oil economy by offering 32 exploration blocks through bidding. Later in 1997, it formulated the New Exploration Licensing Policy (NELP) to attract foreign investment, under which production-sharing contracts for 254 exploration blocks have been signed.

As a net importer of oil, India has retained its spot as the third-largest consumer of oil in the world. It imported 212.2 million tonnes of crude oil in 2021-22, up from 196.5 million tonnes in the previous year. ■